Guesstimates & Strategy Cases

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Session for today

Guesstimates

- What are Guesstimates?
- Why are they important?
- Approaches

Strategy cases

- Demystifying casing
- First Principle Problem Solving
- Real Case Example

Q&A

What are Guesstimates?

Guesstimates, as the name suggests, are estimates based on guesswork

- There are no right answers in a guesstimate; you just need to be logical
- The goal of a guesstimate is to test how you break down an ambiguous problem into an organised, structured approach
- To see if you can make reasonable assumptions, involve the interviewer, ask for the right set of data and communicate clearly under pressure

Examples:

- Estimate the number of ice-cream cups sold annually in India
- Estimate the annual revenues of Airtel in India
- Estimate the number of petrol pumps in India
- Estimate the weight of a Boeing 747

Guestimates: Two Approaches

(Both approaches are valid → choose the one that feels natural for the problem.)

Top-Down

- Start broad (population, market size, etc.)
- Narrow step by step to estimate the number
- Eg: How many cups of tea are consumed in Delhi daily?

- Segments:
- Demographics (age, sex, income)
- Psychographics(attitudes, behaviors, values)
- Geography (city/country, urban vs. rural)
- And many more depending on the case!

Bottom-Up

- Start small (one shop, one household, one unit)
- Scale up logically to reach total
- Eg: Estimate tea sales in one canteen, then multiply for Delhi

- Bottom up approach is much more subjective than top down approach.
- Especially replicable blocks depend on the case in hand, it can be one single store, one family to a single person. Be careful while picking your block and while scaling up.
- Bottom up approach though gives accurate results provided you scale up properly.

What are your interviewers looking for?

Questions Structure Value Solution

- Problem Solving is not a numbers game
- Test your ability to think clearly under pressure
- See if you can structure chaos into order
- Evaluate logical problem-solving & comfort with ambiguity
- Check communication skills → are you clear, confident, and concise?

They don’t care about the “right” answer — they care about how you think

Estimate the daily revenue of a PVR multiplex

Do's

- Take about a minute to gather your thoughts and decide approach
- Use tree diagrams, normal diagrams, anything that explains your thoughts clearly in a visual way
- Relate your assumptions to facts, experiences and sellable logic
- Keep talking as you write, engage the interviewer

Ideal Flow

Confirm Objective

Think logically and come up with possible set of approaches

Explain the best approach & confirm if you should go ahead with it

State your assumptions first hand

Lay down structure neatly on paper and solve it step by step

Make logical assumptions and always confirm them with Interviewer

Keep communicating & asking the interviewer for buy-ins

Calculate your answer. Be ready for a conversation around error estimate, other approaches

If possible, reconfirm & triangulate your answer with a ballpark estimate from another approach

Dont's

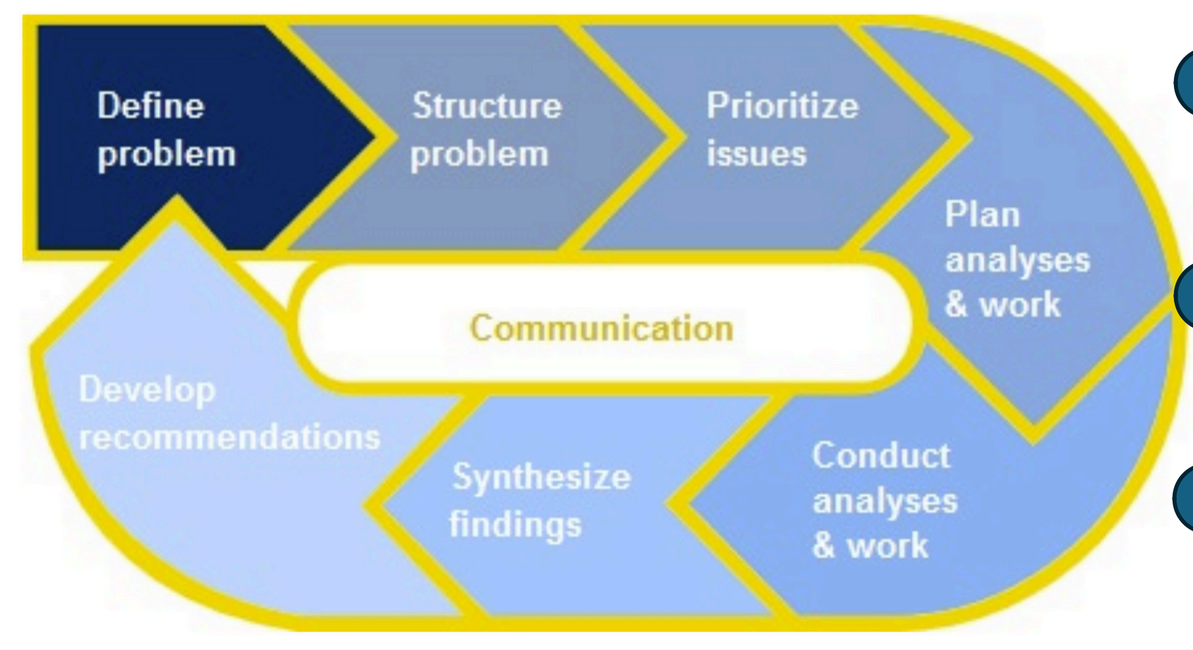
- Ask too many clarifying questions
- Questions about approach
- Start solving without discussing the approach
- Start with a population set every time
- Be text heavy on your sheet
- Unreadable writing
- Guessing the numbers
- Solving without explaining what you are doing

Estimate the number of Indie mint ciggerates sold in mumbai per year

DEMYSTIFYING CASING

How do you prep for it? | Frameworks

- **6 step problem solving framework**



1. **Define the problem and make it SMART**
   Specific **M**easurable **A**ctionable **R**elevant **T**ime-bound
2. **Structure the problem**
   Make it MECE – mutual exclusive, collectively exhaustive; ensure constraints and criteria of success are known
3. **Prioritize issues**
   Perfect way to engage the interviewer, probe on what will drive maximum impact; use 80-20 approach to prioritize; leverage an issue tree
4. **Plan and conduct analyses**
   List out ways you can analyse the problem in more detail to get to the solution
5. **Synthesise findings**
   Do not summarise, but synthesise- focus on top down approach, think of this like an elevator pitch for a CEO to buy into the initiative
6. **Develop recommendations**
   Focus on also how you achieve this, rather than only what needs to be done

How do you prep for it? | The Case

Email from the client – CEO, Foodie Place

“We are one of the marquee restaurants in Delhi, while we started off very strong, we are seeing profits fall.
We need to figure out what went wrong that led to 20% decline in profits over the past 6 months. Help us for a quick turnaround”

How to prep for it? | Step 1: Problem statement

Define the problem and make it SMART
– Specific **M**easurable **A**ctionable **R**elevant **T**ime-bound

Take 2 minutes to write down your problem statement. Make sure it’s SMART.

How to prep for it? | Step 1: Problem statement

Learning – don’t shy away from asking questions, try to make the problem statement smart, if you don’t have enough information ask for it!

Let’s hear some questions you’d ask?

Some ideal questions:

- What is the profit target?
- By when do you need to get there?
- Have revenues stagnated/dropped or have costs risen?

How to prep for it? | Step 1: Problem statement

Some more detail:

- Target to grow profits by additional 20% (currently down by 20%)
- Need to achieve this in 3 months
- Margins have not changed, but revenues have dropped

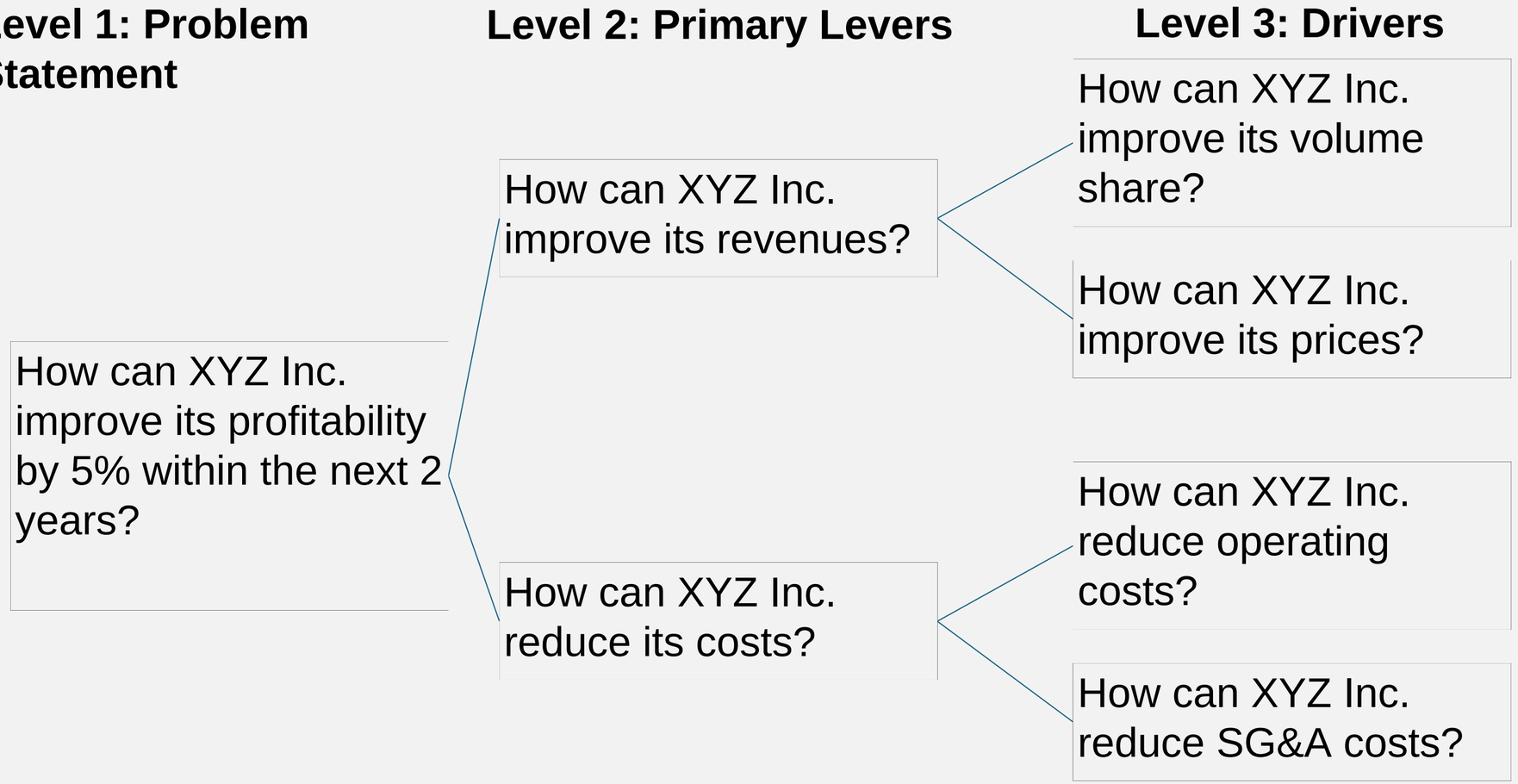
“How can Foodie Place. regain its profits by addressing its revenue drop within the next 3 months?”

How to prep for it? | Step 2: Problem breakdown

Why is it important?
Breakdown a large problem into smaller, more manageable pieces
Define mutually independent workstreams that individual consultants in the team can drive in parallel

How to breakdown a problem?
Create “issue trees”
A tree-like breakdown of the problem statement into a series of sub-problems
At each level of the tree, the sub-problems are MECE – Mutually Exclusive, Collectively Exhaustive

How to prep for it? | Step 2: Problem breakdown



At each level, the problem statements are:

Mutually exclusive: there is no overlap in the scope of the sub-problems

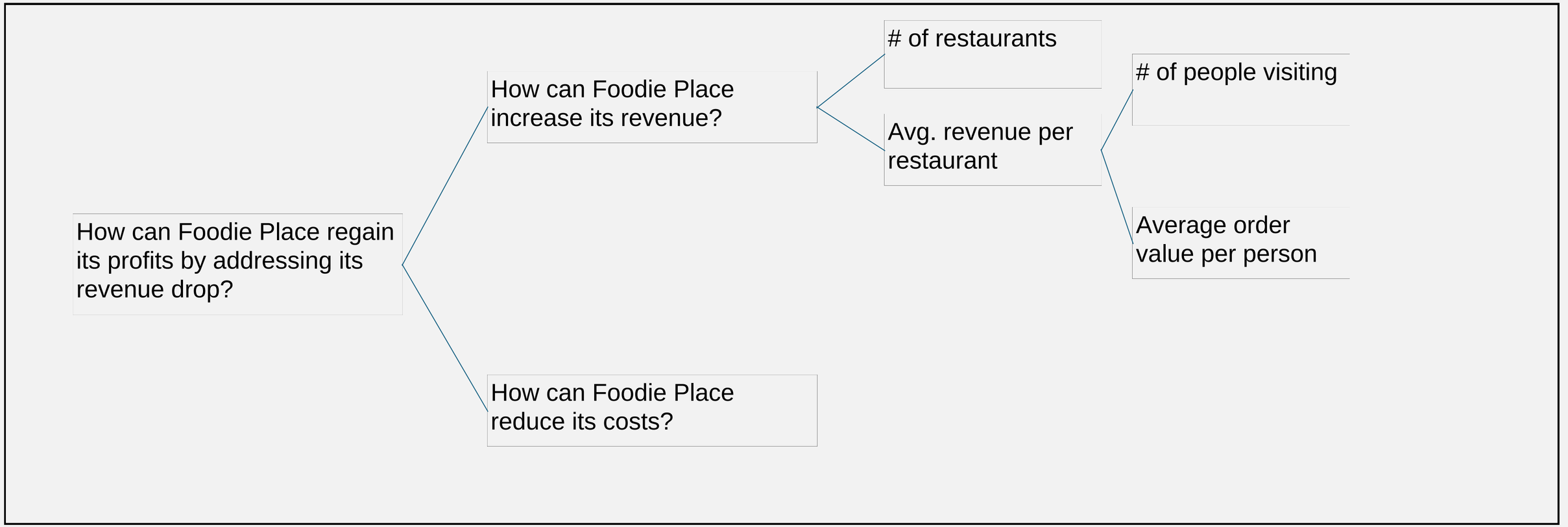
Collectively exhaustive: together, the sub-problems at each level cover all possibilities

Hence, validate an issue tree from the lens of being MECE

There is no unique issue tree. Many possibilities exist

How to prep for it? | Step 2: Problem breakdown

Create your own issue tree



How do you prep for it? | Recommendation

Ideal recommendation will be to go back to the previous seating arrangements – however always helpful to discuss with the interviewer on the rationale of change to identify any additional constraints that may come through

Blue Tokai wants to increase their revenue @ Ashoka

Q&A

Important!

Some common frameworks:

1. **4 Ps** – Product, Price, Place and Promotion
2. **Porters 5 forces** – Barrier to entry, Competitive Intensity, Supplier Power, Bargain Power and Substitution Threat
3. **PESTLE** – Political, Economic, Social, Technological, Legal and Environmental
4. **PPI** – People, process, infrastructure

Guesstimate Cheat Sheet

Total Population of India ~143 Cr

Gender Split Women/Men: 48:52	**Urban to Rural** 35:65	**Average Household Size** 4-5 people
Birth Rate 1.69% **Death Rate** 0.74%	**Population Density** 480/km^2	**Avg. Life Expectancy** 70.4

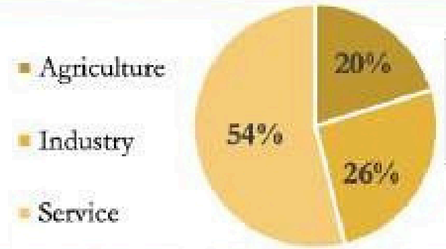
Age-wise Distribution of Population

Age Bracket	Percentage
0-14 Years	26%
15-24 Years	18%
25-34 Years	17%
35-44 Years	14%
45-54 Years	10%
55+ Years	15%

Largest cities (by Population)

Cities	Pop. (Mn)	Cities	Pop. (Mn)
Delhi	32.94	Chennai	11.78
Mumbai	21.3	Hyderabad	10.8
Kolkata	15.33	Ahmedabad	8.65
Bangalore	13.61	Surat	8.06

GDP Distribution



Total GDP (~3.4 Trillion USD)

Geographical Distribution

Length of India	3200 kms (North to South)
Breadth of India	3000 kms (West to East)
Number of States	28
Number of UTs	8
Area of Delhi	1500 square kms
Population of Delhi	3.3 Cr
Area of Mumbai	600 square kms
Population of Mumbai	2.2 Cr

Internet Connectivity Distribution

Internet Penetration 50%

Smart Phone Penetration 71%

Religion split

Religion	Hindu	Islam	Christianity	Others
Population	80%	13%	2.3%	4.7%

Income wise distribution of population

Income Segment	Percentage
Lower Income	10%
Lower Middle Income	38%
Middle Income	40%
Upper Middle income	10%
Upper Income	2%